

Illustration by **NILANJAN DAS**

THE GIANT STEPS

- India spends less than 1 per cent of its GDP on R&D. It is not just about increasing the quantum of money we spend but where and how we spend it
- We will have to build innovation ecosystems where both public and private sector R&D come together
- Industry 4.0 plays to India's strengths. Cyber-physical systems, nano factories, AI-based forecasting etc will have to be adopted at scale to reduce costs and enhance people and capital productivity
- Manufacturing cannot break into a gallop without skill sets that match industry needs. This will entail extensive vocational training and digital tools

lysing customer feedback, adopting Customer Relationship Management (CRM) systems, benchmarking and fostering a customer-centric and continuous improvement culture.

R&D and innovations: A big change our country must make is around R&D and innovations. India spends less than 1 per cent of its GDP on R&D. South Korea, Taiwan and Israel spend 3-5 per cent and China about 2.5 per cent. It is not just about increasing the quantum of money we spend but where and how we spend it. China files over 20 times the number of patents India does. The sweet spot of innovation is where you meet the unmet needs, at costs that are competitive and where you appropriate a large part of the value chain. To differentiate ourselves, this will have to be supplemented by products that are high on sustainability.

We will have to build innovation ecosystems where public sector as well as private sector R&D, academia, venture capitalists and start-ups come together. For instance, Wageningen University in the Netherlands, recognised for its research and innovation in agriculture, food sciences and biotechnology; the MIT Media Lab in Boston, renowned for its cutting-edge interdisciplinary approach to research; and the Hsinchu Tech Park in Taiwan, known for its R&D in semiconductors, electronics and telecommunications, are great examples of innovation ecosystems.

Nurturing MSMEs: Also, MSMEs will have to be nurtured by enhancing their presence and leveraging their strengths. We must create greater ease of doing business, provide higher access to capital and technology and assist them in reducing their carbon footprint. Manufacturing cannot break into a gallop without skill sets that match industry needs. This will entail extensive vocational training, deploying digital tools for efficiency and scalability of upskilling and reskilling. In tandem with growth in manufacturing, we will have to take concrete steps to build brands that are differentiated and recognisable across the world.

India and its numerous states will have to focus on industries where they have a competitive edge or where it can be created. In sunrise sectors, we should look at drones, space, modular nuclear reactors, renewable energy, smart mobility and life sciences. In labour-intensive sectors, the focus should be on leather products, handicrafts, furniture, garments and agro-processing, among many other sectors. India has the foundation, the entrepreneurial zeal, the drive—of both the government and its people—and the right external context to become a 'product nation'. Let us not miss this opportunity. Our destiny beckons us. ■

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